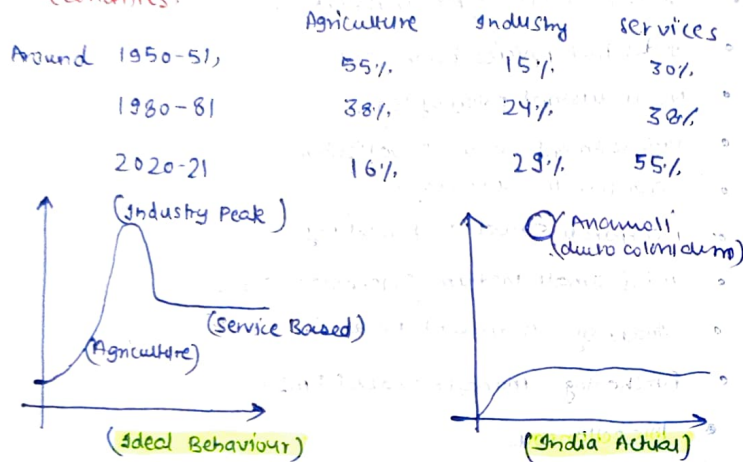


- Industries could also be classified as Agriculture and Allied Activities, Industry and Services sectors.
- In the context of the Indian economy, the agriculture sector accounts of 18% of output, industrial sector of 26% and Tertiary sector accounts for 54%. (Economic share)
A distribution which is very similar to high income economies.



- According to Rostow Economic model for industrialization
 - Traditional society (Agriculture Based) (line model) (Agriculture subsistence)
 - Pre-condition for take-off (consumer drive economy)
 - Take-off (Manufacturing based) (Happened by investment technology (industrialization))
 - Drive to maturity
 - High mass consumption.
- The important feature however is the economic dependence as much as 44%, 25%, 23%, on the agriculture, industries & service sector. (Economic Dependence)

- In India, the sector that contributes the least has the maximum dependence. In most other countries, the share of agricultural sector goes down, the economic dependence also goes down, this is not the case of India. Such a pattern of economic dependence on India may not allow for inclusive growth.

Process of Industrialization in a Country.

- As an economy develops there is a need for the industrial sector to accelerate overall growth of the economy. It is through this most of the economy today have acquired the status of industrialised nations like US, UK, Japan etc.
- The industrial sector can be seen as a basic industry (like steel, cement, aluminium, etc.) capital goods sector (heavy machines), intermediate goods (tools, spares, parts) and consumer goods (TV, fridge, A/C etc.) which also known as white goods.
- In the initial stage and to initiate the process of industrialization, the government has to focus on basic and capital goods which creates the demand for intermediate as well as consumer goods. Their growth in turn, creates demand for capital and basic goods industries, which eventually creates a cycle of industrialization.
- The basic and capital goods sectors are highly capital intensive, technology intensive, have long gestation period (time gap b/w investment & production) and high break even point (profit occurs after a long period of time).
- The process of industrialization in India was initiated during the Second Five Year Plan (1955-56) to (1960-61) also called Mahalanobis model, which was a top down approach.

(MAHALANOBIS MODEL)

(TOP DOWN APPROACH)

It focused on rapid industrialization by prioritising investment in heavy industries like steel, cement, aluminium etc. (Basic Industries), heavy machines (capital goods) because these industries were considered a key to long term economic growth. This model was advocated on similar lines as those run by developed countries during their process of industrialization.

- The large need of economic resources and technology required and a need for define industrialization. The government of India took over the responsibility of industrialization through public sector, this was not a matter of choice but a matter of compulsion, give the need and absence of private sector to handle such an enormous responsibility and that's how, the public sector was born in India.

Types of Central Public Sector Enterprises (CPSE)

1. Departmental Undertakings:

- Departmental undertakings are formed and managed by the government.
- It is attached to a government ministry, its motive is to deliver essential goods and services at a fair price.
- Examples of Departmental Undertakings in India are:
 - Indian Space Research Organisation (ISRO)
 - Defence Research & Development Organisation (DRDO)
 - Indian Railways
 - All India Radio (AIR) (ISRO, DRDO, IR, IB, AIR)
 - Indian Post etc.

2. Statutory Corporations:

- A statutory company definition as a company that is created by a special Act of the Parliament.
- Their precise nature varies by the jurisdiction, thus they are statutes owned by a government or controlled by the national or sub-national government to the extent provided for in the creating legislation.
- Examples of statutory corporations in India are:
 - Reserve Bank of India (RBI)
 - Securities and Exchange Board of India (SEBI)
 - National Highways Authority of India (NHAI)
 - Food Corporation of India (FCI)
 - Insurance Regulatory and Development Authority of India (IRDAI). (RBI, SEBI, IRDAI, FCI, AAH)
 - Airport Authority of India (AAI)

3. Government Companies

- Government companies means any company in which not less than fifty-one percent of the (paid up share capital) is held by the central Government, or by any state government or Governments, or partly by the central Government and partly by one or more state governments.
- Examples of government companies in India are:
 - Coal India Limited (CIL)
 - Engineers India Limited (EIL)
 - Hindustan Petroleum Corporation Limited (HPCL)
 - Bharat Petroleum Corporation Limited (BPCL) (CIL, EIL, HPCL, BPCL, ONGC)

4. Autonomous Bodies:

- These are set up as per the **exigencies of time** and discharge functions outside the governmental set up with some amount of **independence and flexibility**.
- These are set up by the **ministries/ departments** concerned and are funded through **grants-in-aid**, either fully or partially depending on the extent to which such institutes generate internal resources of their own.
- Examples of autonomous bodies in India are:
 - ↳ All India Institute of Medical Sciences (AIIMS)
 - ↳ IIT
 - ↳ IIM
 - ↳ Jamia Millia Islamia
 - ↳ Indian Council of Agriculture Research (ICAR)
 - ↳ Council of Scientific and Industrial Research (CSIR)

Public Sector and Private Sector Enterprises:

- A **public sector** enterprise is owned and controlled by the government. It operates under its own set of rules & regulations.
- A **private sector** enterprise is owned and controlled by individuals or entities from the government. It functions according to the rules and regulations set by the government of India and the respective state governments.
- A **limited liability company** can be established in India for commercial purposes under the **Companies Act, 2013**.

- A **limited liability partnership (LLP)** firm can be started under the **Limited Liability Partnership Act, 2008**.
- Limited liability means that the **liabilities** of a company or firm are **restricted** to the **company or firm** itself. The **personal assets** of the owners **cannot** be used to repay liabilities in case of the company's dissolution or closure.
- Under the Companies Act, 2013, a **limited company** can be formed as either a **public limited company** or a **private limited company**.
- To start a private limited company, a minimum of **two** members is required, whereas **public limited company** requires **at least seven members**.
- The maximum number of members in a private limited company is **200**, while a public limited company has **no upper limit** on the number of members.
- A limited company or any company exists in the **book of law**; the day when the company firm started, it is their **birth date** and the **closure day** of the company is their **end or death day**.
- A company can **sue** somebody and a company can be **sued** by somebody else because it is a **legal entity** that **exists in the book of law**.

(Public Sector, Private Sector, Limited Liability Company)
 (Companies Act, 2013, Limited Liability Partnership (LLP), Act, 2008)
 (Requirements, Legal Entity)

Industrial Policies in India

- Industrial policy refers to **strategic efforts** by the **government** to encourage the **development and growth** of specific **sectors or industries** within the economy.
- It includes measures such as **subsidies**, **tax incentives**, **regulatory adjustments** and **direct investments** aimed at enhancing industrial **productivity**, **innovation** and **competitiveness**.
- The goal is to promote economic **development**, create **jobs** and ensure **sustainable growth** by fostering key industries that can drive national economic advancement and resilience.

Industrial Policy of 1956

- The **Industrial Policy Revolution of 1956** was taken into the action by the Parliament on **30th April, 1956**.
- The Industrial Policy was shaped by the **Mahalanobis model of growth**, which suggested that **emphasis on heavy industries** would lead to **economy towards a long-term higher growth path**. It provided a comprehensive framework for the industrial development of the country.
- It aimed at improving the **coordination** between the **public** and the **private sector** to achieve the goal of rapid industrial development by working together.
- This revolution provided more powers to the **Governmental Machinery** and laid down the foundation for India's **Second Five Year Plan**.

For any permission, like **License**, **Permit**, **Raw**
Product, **Introduction**, **Increase the capacity of company**,
you have to take permission from **Inspector**.

- The Industrial Policy also helped in laying down the **three categories of the Industrial Sector** that helped in defining industries more sharply.

↳ Schedule A companies

- 17** different industries, only for **public sector**.
- Reflecting government's control and develop important sectors.
- like **atomic energy**, **railways**, **armaments**, **ammunition** and **heavy machinery**.
↳ weapons, tanks etc.

↳ Schedule B companies

- 12** different industries, open for both **public private sector**.
- State governments** can play important role, to expand operations **started** out by **public sector**.
- like **Aluminium**, **machine tools**, **fertilizers**, and **road transport**.

↳ Schedule C companies

- All remaining** industries, majority handled by **private sector**.
- Government maintained authority, **can intervene** if **need** ensure to **balanced development**.

Industrial Policy before 1991

- All the policies before 1991 were highly biased in the favor of the **public sector** with as many as **17 areas** like defence equipment, atomic energy etc. were reserved exclusively for the **public sector**.
- Even in the remaining areas, the government in the interest of the country, **can set up a public sector enterprise**.

- The remaining areas were, however, left open to the private sector but subject to strict licensing policy and registration process before the commencement of business.
- The industrial sector thus was highly regulated by the government.
- It was also an era of nationalization like coal fields, banking sector, insurance sector, textiles etc. which had the dominance of the public sector.
- The prices of the industrial products like steel, cements, aluminium etc. were also controlled by the government.
- While all the policies mentioned as a mixed economy, it was a more of a philosophy and intention rather than a reality because of the given control of the private sector.
- The Monopoly and Restrictive Trade Practices (MRTP) Act, 1969 brought the concept of MRTP companies, which were those companies having assets more than ₹100 Cr. rupees. This Act believed that as a company may grow in size, it can resort to unfair trade practices and result in consumer exploitation. Thus, all activities of such companies come under the scanner of the government.
 - ↳ Biggest example → JIO
- The government's role was that of a regulator and a producer in the industrial sector.
- All the policies favored reservation for the small scale sector industries and also a role for village & cottage industries.
- Overall, the policies prior to 1991, there was a dominance of the public sector, a strict licensing system for a private sector and an administered price mechanism.

H. Changes Made Under Industrial Policy, 1991:

- Licensing system improved
- Public sector (not dominated)
- MRTP Act 1969 → Competition Act 2002, in 2009 → repealed.
- FDI and Foreign Technology Agreements.

1. Licensing Policy:

- This policy abolished industrial licensing for all the industries except a short list of 18 industries.
- This list of 18 industries was further reduced in 1999 where by number reduced to 6 industries viz.
 - Drugs and Pharmaceuticals
 - Any kind of explosives
 - Any kind of wines, spirits and cigarettes.
 - Any kind of Hazardous chemicals (Example: Hydrocyanic Acid)
- However this policy, industries reserved for the small scale sector continued to be so reserved.
- This policy abolished industrial licensing for public sector industries like -
 - Defence
 - Atomic Energy
 - ~~Railways~~ & Railways.
 - minerals
 - mineral oils. → X

(4th in Article 299) (Removed)
(As, foreign & private investment participated)

2. Impact of the Industrial Policy 1991 on Indian Economy:

- In 1991, India was a member of 97 group of developing countries.
- In 2024, India is a proud member of the G20, the most powerful countries of the world.
- In 1991, India was infamous as the world's biggest beggar because almost 40% of the world Bank's funds were soaked by India. But today India is a net donor to the world Bank's International Development Association (IDA).
- In 1991, India's GDP was 266 Billion Dollars, which is now touched to the level of 4 trillion Dollar, almost 15x.
- In 1991, India's foreign reserve - 1.1 Billion Dollar
2024, - 650 billion dollar
- The budget size of the government of India in 1991 is 113 lakh Cr, Now, 50 lakh Crore.
- In 1991, the per capita income of India was around 300 US Dollars which has now increased to a level of 2800 US Dollars (For China, per capita income in 1991 was 333 US Dollar & now it is 13000 US Dollars).
- In 1991, India's population was 84 crore & now it stands at 145 crore.

Guidelines for Awarding Ratna Status to Companies:

1. Maharatna

- Eligibility: Three years with an average annual net profit of over ₹2500 crores, OR the average annual net worth of ₹10,000 crores for three years OR Average Annual turnover of ₹20,000 Crore for three years (against ₹25,000 Cr prescribed earlier)

- Benefits for Investment: ₹1000 Cr - ₹5,000 Cr, or free to decide on investments upto 15% of their net worth in a project.
- Example: ONGC, BHEL, BPCL, CIL, GAIL, HPCL, IOCL, NTPC

2. Navaratna

- Eligibility: A score of 60 (out of 100) based on six parameters which include net profit, net worth, total manpower cost, the total cost of their net worth on single production, cost of services, PBDIT (Profit before Depreciation, Interest and Taxes), capital employed etc.
A PSU must first be a miniratna first and have 4 independent directors on its board before it can be made a Navaratna.
- Benefits for Investments: upto ₹1000 Cr, or 15% of the project or 30% of their net worth in the whole year (not exceeding ₹1000 Cr).
- Example: BEL, EIL, container corporation of India, IRCTC (CONCOR)

3. Miniratna Category-I

- Eligibility: Have made profits for continuously last 3 years, or earned a net profit of 30 Cr or more in one of the 3 years.
- Benefits for Investments: upto ₹500 Cr or equal to their net worth, whichever is lower.
- Example: Airport Authority of India (AAI), Balmer Lawrie, BSNL, Central Coalfields Limited.

4. Mini-rima Category-II

- Eligibility: Have made profits continuously for the last three years and should have a positive net worth.
- Benefits for Investment -: upto 300Cr or upto to the 50% of their networth, whichever is lower.
- Example: Bharat Pumps & Compressors, Indian Medicines Pharmaceutical Corp. Ltd.

Disinvestment & Privatization

- Both disinvestment & Privatization involve the government reducing its ownership in public sector companies but they are different in how much control the government retains.
- Disinvestment means the government sells a part of its share in a public sector company, to private investor or the general public but still retains control.
- In case of Privatization, the government sells more than 51% of stake in the company, transferring control and management to private players.

Strategic Disinvestment

- Here, the government looks for a strategic buyer to whom the control management of the company and majority shareholding need to be transferred.
- For example, recently Air India was sold to TATA group.

Corporate Governance

- Corporate Governance is a set of principles or guidelines on which a company is governed.
- It ensures that corporate works in a way it is supposed to work to achieve the desired goals.
- In general, Corporate Governance means rules and regulations and practices by which a Board of Directors ensures Accountability, fairness, and transparency in a company's relationship with its all stakeholders (financiers, customers, management, employees, government & community).



- In India, the term corporate Governance came to light after the following the policy of liberalisation in 1991.
- It was introduced by Confederation of Indian Industry (CII) as a voluntary measure but it is now compulsory under Indian Companies Act 2013 and with the introduction of Regulation 17(8) in the SEBI Listing obligations and Disclosure Requirements Regulation 2015.

Index of Industrial Production (IIP) → (Read Document!)

- The All India Index of Industrial Production (IIP) is a composite indicator that measures the short term changes in the volume of Production of a basket of Industrial Products during a given period of time with a chosen base period. (Like WPI & CPI → Point to Point Inflation)
- It is compiled and published on a monthly basis by the National Statistical Office (NSO) with a time lag of six weeks from the reference month.

- IIP is a composite indicator that measures the growth rate of industry groups classified under,
 - ↳ **Broad Sectors**: mainly, **mining, manufacturing & Electricity**.
 - ↳ **Use-Based sectors**: namely, **Basic Goods, Capital Goods, & Intermediate Goods**.

- Currently, IIP figures are calculated considering the **2011-12** as a base year.
- The IIP growth rate for the month of **March 2024** over the corresponding period of Previous year is **4.9%**.
The growth rates of the three sectors, **mining, manufacturing & electricity** for the month of March 2024 over the March 2023 are **1.2%, 5.2% & 8.6%** respectively.
- Within the manufacturing sector, the **growth rate** of the **top three positive contributors** to the growth of IIP for the month of **March 2024** are - "**manufacture of Basic metals (7.7%)**", "**manufacture of pharmaceutical medicinal and chemical & botanical products (6.3%)**" and **manufacture of other transport equipment (25.4%)**".

Eight Core Industries → released by office of Economic Advisors (Ministry of Commerce & Industry)

1. Electricity - 19.85% ✓
 2. Refinery Product - 28.04% ✓
 3. Crude Oil - 8.98% ✓
 4. Coal - 10.3% ✓
 5. Cement - 5.37% ✓
 6. Natural Gas - 6.88% ✓
 7. Fertiliser - 2.63% ✓
 8. Steel - 17.92% ✓
- 8 core industries of India represent about 40.37% of the weight of items included in IIP.
- Oil > Gas > Cement > Crude Oil > Natural Gas > Fertiliser

Lecture - 3 MSMEs & Industries

Continuation of Corporate Governance

1) Important Provisions of Companies Act, 2013

- The Board of Directors of every listed company and some other type of company (paid up capital of ₹ 10Cr or turnover of ₹ 100Cr or loans of ₹ 50Cr) should appoint an audit committee that should be composed of at least three members, with independent directors in the majority and independent director as a chairperson. (Section 177 of the Companies Act, 2013)
- 1/3rd of the Directors should be independent directors, not directly or indirectly connected with the business or owner of the company.
- Under the Section 139(3), individual auditors need to be rotated after every 5 years and an audit firm needs to be replaced every tenth year.
 - ↳ Reason: **Satyam Computers Scam**.
[They showed thousands of extra employee, to be in the sheet as salary spending, they know that firm only reconfirms people present].
- The operations of the company have to be transparent making full disclosure.
- The CEO & CFO of the listed company must certify that the financial statements are fair and accept the responsibility for internal controls.
- Annual reports of the listed companies must carry a status report about compliance with corporate governance norms.

Regulations given under SEBI regulations

- Under the regulation 20, it provides for **Stakeholder Relationship Committee**, the listed entity shall constitute a stakeholder relationship committee to specifically look into the mechanism of redressal of grievances of shareholders, debenture holders and other security holders.
- Under regulation 26(1), it stipulates that a director shall not be a member in more than five committees across all listed entities.
- Under the regulation 24(1), it prescribes having at least one independent director of the listed entity as a director on the board of director of an unlisted material subsidiary incorporated in India or not.
- Under the regulation 24(4), it requires that the management of the unlisted subsidiary shall periodically bring to the notice of the Board of Directors of the listed entity, a statement of all significant transactions and arrangements entered into the by the listed company.
- Under the regulation 23(4), pertaining to corporate Governance, listed entities have to get Shareholders' nod for "related party transactions".

Corporate Social Responsibility

- Corporate Social Responsibility (CSR) in India refers to the practice of companies **voluntarily integrating social and environmental concerns into their business operations and interactions with shareholders.**

- CSR in India gained prominence with the **Introduction** of the **Companies Act 2013**, which made it **mandatory** for **certain companies** to spend a **specific percentage** of the profits on **CSR activities**.
- A list of CSR activities are provided by government of India in the **7th schedule** of the **Companies Act 2013** and the companies who need to do CSR on compulsory basis are as:
 - Companies with **Annual Profit of Rs. 5 Cr or Annual turnover of ₹ 1000 Cr or Networth of Rs. 500 Cr.**
- A company needs to spend **at least of 2% of their average Profit over the last three years.**

Purchasing Manager's Index

- The PMI is calculated based on the responses to a survey sent to **senior executives** at **more than 400 companies** in **19 primary industries**, which are weighted by their **contribution to US GDP.**
- The PMI is based on **five major survey areas - each of which is weighted equally.**
 1. New orders
 2. Inventory levels
 3. Production
 4. Supplier deliveries
 5. Employment generation.

Micro, Small & Medium Enterprises Development Act, 2006

- Micro, Small and Medium Enterprises (MSME) is an **Indian Law** that was enacted to **promote and facilitate the development and competitiveness** of **micro, small & medium Enterprises (MSME) in India.**

- Micro, small & medium Enterprises (MSME) play a crucial role in a country's economy by providing employment opportunities and fostering economic growth.

• Some Important facts regarding MSMEs are follows:

1. As of March 2024, over 39 million micro enterprises were registered on the Indian government's Udhayam registration portal, accounting for over 90% of total registered MSMEs.
2. In the year ending September 2024, India's small businesses added 11 million jobs, bringing total employment in the sector to 120.6 million.
3. In the fiscal year 2021-22, MSME contributed 29.15% to India's GDP.
4. MSME's related products accounted for 45% of India's total Export in 2021-22.

• Categorization of Industries:

1. Earlier MSME Classification:

	micro	Small	medium
Manufacturing Enterprises	Inv. < 25 lac	Inv. < 5 cr	Inv. < 10 cr
Services Enterprises	Inv. < 10 lac	Inv. < 2 cr	Inv. < 5 cr

2. Revised MSME Classification:

	micro	Small	medium
Manufacturing & Services	Inv. < 1 cr Turnover < 5 cr	Inv. < 10 cr Turnover < 50 cr	Inv. < 20 cr Turnover < 100 cr

- The MSME sector incorporates a diverse range of industries, including manufacturing, trade and services. As of 2022-24, the number of small manufacturing businesses increased to 20.15 million from 17.83 million in the previous year.

Shell Companies:

- In the USA, law defines a shell firm as one that has no or nominal operations and assets.
- The assets must consist mainly of cash and cash equivalents with very few other assets.
- In other words, a shell company should not have active business operations or assets.
- In India under section 248 of the Companies Act 2013 the government can proceed with action against dormant companies that have been passive for two consecutive years.
- Normally, they are given 30 days notice before their name is struck off from the records.

Food Processing:

- Food processing is a procedure in which food is prepared for consumption.
- There are several purposes to food processing but the most basic goal is to prepare food that is palatable. (good intake with nutrition)
- It includes processing ingredients that are not safe for eating in raw form, flavoring foods to make them more interesting and moreover, it also includes the process of food fortification $\rightarrow$ adding vitamins & proteins to food and grains.
For example $\rightarrow$ Adding iodine in the salt.
- It includes adding some preservatives to the food products to increase the shelf life of food products.

Types of Food Processing Industries:-

The processing sector comprises of three segments based on the level of processing:

- Primary Processing of Food:- It includes sorting and grading and packaging of fruits and vegetables, milk, spices.
 - Secondary Processing of Food:- It comprises reshaping of food for ease of consumption. It includes flour, tea and leaves etc.
- { NOTE: The primary and secondary constitute around 62% of processed food in value terms. }
- Tertiary Processing of Food:- It includes processing of fruits and vegetables. Example: Juices, Jam, jelly, ketchup etc. and it holds around 38% share in the total processed food market.

(NOTE: 78.2 million tonnes of food is wasted and 22% food is wasted every year)

1) Important Features of Food Processing Industry:

- Indian households waste 55kg of food per person annually, totalling around 78.2 million tonnes each year. This wastage accounts for about 22% of the country's food grain output.
- Over 30-40% of pods and vegetables in India go to waste due to improper storage conditions.
- Around 15-20% of food loss occurs due to poor roads, delays, and lack of proper transport.
- The economic implications are substantial, with the value of wasted food costing at 92000 crore per annum, around 1% of GDP.
- Only about 10% of food produced in India gets processed compared to 30-80% in developed countries.
- The food processing industry in India is among the largest globally, with the amount expected to reach 535 billion dollars, by 2025-26, which was 263 billion dollar in 2021-22.
- India is the third largest grocery market in the world.
- The industry contributes approximately 14% to the GDP of India's manufacturing sector and accounts for 13% of the country's exports.
- The sector has attracted 679 billion US dollar equity inflows over the last decade, highlighting its appeal to international investors.
- Directly employing about 20 million people across 40,000 registered food processing factories, the sector significantly contributes to job creation.
- With an outlay of ₹1,05,900 crore rupees the production linked incentive scheme aims to boost domestic manufacturing, promote exports, & generate employment in the Food Processing sector.

Supply chain management

- Supply chains are the suppliers, manufacturers, distributors, and transportation modes that move products and services from the source of components and raw materials.
- Supply chain management is a set of approaches utilized to efficiently integrate suppliers, manufacturers, warehouses, and stores so that the goods are produced and distributed in the right quantity, to the right location, at the right time, in order to minimize system-wide cost while satisfying service level requirements.
- The basic objectives of supply chain management are to ensure that the right products are delivered to the right place at the right time in a cost-effective manner.
- Supply chain management consists of upstream and downstream activities.
- The product flowing from the source towards the customer is flowing downstream. (Distribution & customer service)
- Activities that are performed previous to a specific point on the supply chain are upstream activities. (Raw material & manufacturing)
- Backward integration** → means a company that expands its activities to upstream areas.
- Forward integration** → means a company expands its to downstream areas.
- Vertical integration** → means when company's backward and forward integration is so good that it practically runs everything from making raw materials to selling the final product to the customer. It is achieved when a single window firm absorbs multiple firms in all aspects of a product's manufacture from raw material to distribution.

MEGA FOOD PARKS

- The purpose of MFP is to create modern infrastructure facilities for food processing along the value chain.
- It aims to provide a mechanism to link agricultural production to market by bringing together all the stakeholders, i.e. farmers, processors, & retailers to ensure maximisation of value addition, creating employment opportunities, minimising wastages, and increasing farmer's income.
- MFP is based on a cluster approach.
- Until now, the Government has established 42 mega Food Parks.

Food Safety and Standard Act 2006

- This act aims to consolidate the laws related to food and establish the Food safety and standards Authority of India (FSSAI).
- Its purpose is to set science-based standards for food products and regulate their manufacture, storage, distribution, sale and import, ensuring the availability of safe and wholesome food for human consumption and addressing related or incidental matters.
- These safety standards are in compliance with the (Codex Alimentarius Commission, CCAC)
 - ↳ international body that sets food standards, guidelines and codes of practice. in 1963 by Food & Agr. Org. (FAO) & WHO.
- FSSAI issues three types of Food licenses -:
 - ① The first is basic registration, intended for small Food Business Operators (FBOs) with an annual turnover of less than ₹ 12 lakh, such as small cafes, restaurants, food hawkers, and Food stalls.

② The second type is the first state license, applicable to FBOs with an annual turnover of between 12 lakh to 20 Cr.

③ The third type is the FSSAI central license, required for larger food entities with an annual turnover exceeding ₹ 20 Cr. FBOs must choose the appropriate registration or license based on the nature & size of their business.

- The Food safety and standards Authority of India (FSSAI) has recommended stringent punishment to curb food adulteration following the Supreme Court Order.

- Those adulterating food products could face life imprisonment and a penalty of up to ₹ 10 lakh as per the amendments proposed by the regulator FSSAI in its 2006 food safety & standards Law.

Unit 12

01-13 Land Reforms

11 Land Reforms

- Land reforms usually refer to the distribution of land from the rich to the poor, more broadly, it includes regulation of ownership, operation, leasing rules, sales and inheritance of land.
- In an agrarian economy like India with a great scarcity of land and an unequal distribution of land coupled with a large mass of rural population living below the poverty line, there are compelling economic and political arguments for land reforms. (Reduce Gross Inequality)
- Not surprisingly it received top priority on the policy agenda at the time of independence.
- Now, During Rajamandir movement - to convince people - post-independence - redistribution of land.
- In the decades following independence, India passed a significant body of land reform legislation.
- But in 1949 Constitution, with the adoption and implementation of land & tenancy reforms to the state governments.

Now, Post Independence Story -

- State government started acquiring land in a fast manner, but people don't like that and started filing writ petition against them, under the article 32.
- Article 14 & 19 → Right to equality & Fundamental right.
- In response of this, central government introduced new article, 31-A, mentioning if state government making Land Reforms, and one's fundamental rights are violating, No petition can be filed.

- They are metal for the country.

• The First Constitutional Amendment Act (1951)

- ↳ Reason: Addressed challenges to Land Reforms & Fundamental Rights.
- ↳ added Ninth schedule: Protected Laws from Judicial Review. (Court challenged)
- ↳ Restricted fundamental Rights: Curbed freedoms under Article 19 (speech, property)

• Most Efficient states in Land Reforms:-

1. Jammu & Kashmir
 2. West Bengal
 3. Kerala
- (Leftist government)

• Main Components of Land Reforms:-

1. Abolition of Intermediaries:

Removal of zamindars, transferred land ownership to tenants and cultivators.

Verdict: Done.

2. Tenancy Reforms: Provided security, fair rent, and ownership rights to tenant farmers.

[Rules are there, but no implementation]

For e.g.: Delhi Hiked rents, Metro cities High rents.

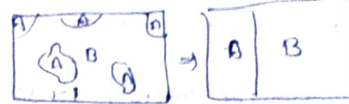
3. Ceilings of Landholdings: Limited maximum land ownership to distribute excess land among the landless.

Land ceilings laws are vary by state. Like in West Bengal, the limit is 5 hectares for irrigated land and 7 hectares for non-irrigated land.

In Haryana → 7 hectares for irrigated
21 hectares for non-irrigated.

[Issue: Rules are there, but no implementation, Ghost Beneficiaries.]

4. Consolidation of Holdings:



- It refers to the process of combining fragmented land parcels into two larger plots for agriculture. In India, this consolidation is typically carried out through legal and administrative measures aimed at increasing efficiency of agricultural land use and prompting agricultural productivity.
- There are multiple advantages of consolidation, increased efficiency, improved access to infrastructure, better crop management and encouragement investment.
- However, there are multiple challenges faced by the state governments, some are legal and administrative hurdles, resistance from small landholders and environmental impacts, and social displacement.

[Not Done, Issues] →

5. Updation of Land Records:

- Initially, the government of India started two programs:

Updation of Land Records (ULR)

Computerisation of Land Records (CLR)

tasks were supposed to be completed by 2007.

Not completed.

- The government of India started the National Land Record Modernisation Program (NLRMP) and this time target is 2017. (2008).

- But still, NLRMP not completed, the government of India launched Digital India Land Record Modernisation Program (DLRMP) and this time deadline is As soon as possible.

[On progress]

#1 10th Agricultural Census, 2015-16

Category of Farmers	Population of Farmers		Landholdings	
	2015-16	2010-11	2015-16	2010-11
1. 0.5-hectare Marginal Farmer	86.21%	84.97%	47.34%	44.31%
2. 1-2 hectare Small Farmer				
3. 2-4 hectare Semi-medium Farmer	12.22%	14.29%	43.61%	44.62%
4. 4-10 hectare Medium Farmer				
5. >10 hectare, Large Farmer	0.57%	0.71%	9.06%	10.59%

Note: [Average Landholdings in 2015-16 was 15714 million which has been decreased from 15959 million hectares in 2010-11.]

Important: There is no scope of Land Reforms, We must talk about Co-operative farming.

#1 Co-operative Farming

- Co-operative Farming is a collaborative agricultural arrangement where farmers pool their resources, land and labour, to collectively cultivate crops, manage livestock and share in the risks of benefits of agricultural production.
- It involves joint decision-making, resource sharing and collective marketing of produce among members.

#1 Relationship between Farm Size & Farm Output

In theory, productivity per acre of land must increase in size. But in actual size of the farm, increases the per acre productivity of land decreases. Following arguments,

- When the cultivation on large farms is made, the production is carried to the level that marginal output becomes equal to wages. While on small farms, the output produced under family-farming practice where output is carried to the situation, 'dedicated work'. Thus small farms are more efficient.
- Large farms are less fertile because small farmers sell their inferior lands to big farmers during days of distress.
- The large farms are scattered at different places, rather than big concentrated in one place. If the distress hypothesis is considered correct, the poor farmers sell their farms during poverty and famine, then scattered farms are furnished with in efficiency.
- Small farmers use their lands efficiently, due to their only source of income, best possible manner.
- On the other hand, big farmers use their big farms ineffectively because it is not mandatory for them to use their inputs effectively, yield goes down.
- In large farms, the tenants & agriculture labourers have least interest in the bonds & others, while small owners work more diligently with their land.
- In large farmers, absentee landlords & engaged in politics, no supervision & no innovation, so ↓ yield.
- Large farmers → follow principle of maximization of profit.
Small farmers → maximize their revenue or profits.
Output.

Unemployment

- Unemployment refers to a condition where individuals who are willing and able to work, and are actively seeking employment are unable to find employment opportunities.
- It is measured as percentage of labour-force i.e. actively seeking employment but unable to secure jobs.

Historical Background1. 1951 - First 5-year Plan

- The major issue during this period was unemployment.
- The Planning Commission decided not to implement a specific plan to tackle unemployment.
- The focus was on increasing savings to boost investment in the economy, following the Harrod-Domar Model.

2. 1956 - Second 5-year Plan

- The government initiated an industrialization strategy.
- The Mahalanobis model was adopted, emphasizing the development of heavy industries.

3. 1961-1977 Period of Instability

- The government did not implement any specific employment policies.
- India faced multiple challenges, including wars and the emergency period, which affected economic planning.

4. 1978 - Employment-Focused Policies

- The government launched employment schemes such as the Integrated Rural Development Program (IRDP) to address rural unemployment.

5. 1999 - 2004 - IT Revolution and Job Creation

- Around 60 million jobs were created during this period.
- The IT revolution was at its peak, contributing significantly to employment generation.
- Various schemes, including Pradhan Mantri Rojgar Protection Yojana, were introduced to promote job creation.

II Major types of unemployment in India1. Disguised / Hidden Unemployment

- It is a phenomenon wherein people are employed though actually needed.
- It is primarily traced in the agriculture and the unorganised sector of India.
- Foreign Shops (Papa beta working) & Farms.

2. Seasonal Unemployment

- It is an unemployment that occurs during certain seasons of the year.
- Agricultural laborers in India rarely have work throughout the year.

3. Structural Unemployment

- due to mismatch between jobs available in the market and the education of the available workers.
- due to lack of requisite skill and due to poor education level.

4. Technological Unemployment

- loss of jobs due to change in technology.
- due to machines, computers, robots or other technological advancements.

5. Chronic Unemployment

- Prolonged Unemployment. It is caused due to the long-term unemployment persisting in the economy.
- for e.g. Unemployed for period of 2-4 years.

6. Cyclical Unemployment

- Cyclical unemployment is a result of business cycle where unemployment rises during recession or slowdown and declines with economic growth.

7. Frictional Unemployment

- It is also called as search unemployment which refers to the time lag between the jobs when an individual is searching for a new job or he is switching between the jobs.

8. Vulnerable Unemployment

- People working informally without a proper job contract and thus without any legal protection.
- These people are deemed unemployed since records of their work are never maintained.
- This is one of the main type of unemployment in India.

Causes of Unemployment in India

• Large population and Job Competition:-

India's large population results in high job demand leading to intense competition for limited job opportunities.

• Challenges for Small and Cottage Industries:-

Lack of state support, legal complexities, and poor infrastructural and financial linkages makes such enterprises unviable, causing cost overruns.

• Informal sector workforce:-

A huge workforce in the informal sector exists due to the lack of education and skills.

• Educational mismatch with industry needs:-

mismatch between educational syllabus and current industry requirements lead to structural unemployment.

• Inadequate Infrastructure and manufacturing Investment:-

Inadequate infrastructure growth and low investment in the manufacturing sector reduces employment potential in the secondary sector.

• Agricultural sector challenges:-

Low productivity in agriculture combined with lack of alternative opportunities for agriworkers makes transitioning to secondary or tertiary sector difficult.

• Gender Inequality in Employment:-

Regressive social norms restrict women to continue employment.

II Solutions to the Problem of Unemployment:-

• Labour Intensive Manufacturing sectors:-

Special strategies should be designed for industries like food processing, leather, and footwear, wood manufacturing, textiles, apparel and garments to create jobs.

• Public Investment in key sectors:-

Public investment in sectors such as health, education, police, and judiciary can generate numerous govt. jobs.

• Decentralization of industrial activities:-

Decentralization industrial activities will ensure employment opportunities across different regions of the country.

• Rural development and migration reduction:-

Developing rural areas will reduce migration to urban areas, thereby decreasing the pressure on urban job markets.

• Encouraging Entrepreneurship:-

Promoting entrepreneurship among the youth will create more jobs opportunities and drive economic growth.

• Removing Social Barriers for Women:-

Concrete measures should be implemented to eliminate social barriers and ensure women's continuous participation in the job market.

• Improving Education System:-

The government should monitor the education system closely and adopt measures to produce a skilled labour force.

Consequences of Unemployment:-

- Rise in poverty:- Unemployment leads to an increase in poverty levels as individuals are unable to earn a livelihood.

• Engagement in illegal activities:-

Long term unemployment may drive young people to engage in illegal activities to earn money, results in increased crime rates.

• Loss of faith in Democracy:-

Unemployed individuals are vulnerable to manipulation by anti-social elements, causing a loss of trust in the democratic values.
for e.g. Naxalites.

• Addiction and Mental Health Issues:-

Unemployment often leads to mental health struggles, with many individuals turning to drug or alcohol addiction or even suicide which diminishes the human resource potential.

• Economic Strain:-

Unemployment negatively impacts the economy as the potential workforce is not contributing productively placing a greater financial burden on the working population and increasing the socio-economic cost for the state.

1) Approaches to measure Unemployment in India

1. Periodic Labour Force Survey (PLFS):-

- Launched in 2017 by NSO (National Statistical Office)
- MOSPI for frequent labour force data.
- Provides key indicators:-
 - ↳ Labour Force Participation Rate (LFPR)
 - ↳ Working Population Ratio (WPR)
 - ↳ Unemployment Rate (UR)

2. Objectives of PLFS (Periodic Labour Force Survey):-

- Short-term Urban Estimates (Quarterly):-
 - 1. Based on current weekly status (CWS)
 - 2. Released every three months to track urban employment trends.
- Annual Estimates for Rural & Urban Areas
 - 1. Based on usual status (US) and current weekly status (CWS).
 - 2. Provide comprehensive labour force insights.

3. Activity Status Definitions

- Usual status (US): Based on last 365 days before the survey.

1. Principal Activity status:- Majority time spent on an activity.

2. Subsidiary Activity status:- Engaged in any economic activity for at least 30 days.

- Current Weekly status (CWS): Based on last 7 days before the survey.

A person is unemployed if they haven't worked even for 1 hour but are available / seeking work.

4. Key Employment Indicators

- Labour Force Population Ratio = % of people working / seeking work in population.
- Worker Population Ratio = % of employed persons in the population.
- Unemployment Rate (UR) = % of unemployed persons in the labour force.

Schemes Related to Employment Generation in India

1. Pradhan Mantri Rojgar Protsaham Yojana (PMRPY)

- The scheme is implemented by ministry of Labour and Employment and is operational since August 2016. (Announced in budget 2016-17)
- The terminal date for registration of beneficiaries is 31-03-2019.

• Aims to incentivise employers for employment generation by the government paying the full employers EPS (Employers Pension Scheme) contribution of 12% for the new employees for first 3 years of their employment and is proposed to be made applicable for unemployed persons that are semi-skilled and unskilled.
(UAN) - Universal Account Number.

2. Prime Minister's Employment Generation Programme

- Launched in August 2008 and operates in both rural and Urban Areas, and extended for the period 2021-22 to 2025-26.
- Credit Linked Subsidy Scheme designed to create employment opportunities by establishing microenterprises in non-farm sector.

3. Pradhan Mantri Mudra Yojana (PMMY):

- MUDRA → Micro Units Development & Refinance Agency
- Launched on April 8 2015.
- Provide microloans of upto ₹ 10 lakh to Non-corporate Non-farm sector income-generating activities such as manufacturing, trading and services like poultry and Dairy.

4. Mahatma Gandhi National Rural Development Employment Guarantee Act (MGNREGA):

- Launch Year: 2005 (Ministry of Rural Development)
- Guarantees 100 days of wage employment annually to one adult member of each rural household willing to perform unskilled manual labor. Also aims to create durable assets like roads, canals, and ponds and provide employment within 5km radius.

5. Make in India :

- Launched in September 25, 2014.
- Nearly completed 10 years.
- Aim: Udal for Local.
- Aims to boost manufacturing in the country, encouraging companies to invest in diverse sectors with a target to create 100 million jobs by 2022 and increase the manufacturing sector's GDP contribution to 25% by 2025.
- To Growth rate of Industry $\rightarrow$ 12-14%.

6. Skill India :

- Launched on 2015 under Ministry of Skill Development and Entrepreneurship.
- Aims on skill development of 300 million people by 2022 focusing on enhancing vocational training through schemes like Pradhan Mantri Kaushal Vikas Yojana (PMKVY) to promote entrepreneurship and skill development across India.

II Poverty

- Poverty is the situation where someone is not able to afford the basic things in life.
- In a country, Poverty is of two types -
 1. Absolute Poverty: It means that a person is not able to afford the basic necessities in life like Food, cloths and shelter etc.
 2. Relative Poverty: It means that a person is relatively poor to afford the average standard of living of the society, i.e. his/her income is less than the average income of the society. It shows the given inequality in the society. Concept of relative poverty used in developed countries. (No Absolute poverty).
- In India, we have both relative and Absolute poverty present.

III Definition of Poverty in India (Measurement / Indicators)

- 1867-68, Dadabhai Naoroji
A person who spends 10 to 35 rupees for a year, he is able to get two times per day Food for the year.
- 1936, National Planning Committee
A person who spends ₹ 15-20 per month, he is able to maintain basic standard of living.
- 1944, The Bombay Plan,
A person who spends ₹ 75 per year, he is able to get two times per day food.
- Dandekar and Nilkanth Rath, 1971
A person who consumes 2250 Calorie/day, is above poverty line.
- 1979, Y.K. Algh Committee constituted by Planning Commission for the purpose of Poverty, chaired by Y.K. Algh $\rightarrow$ 2400 Calorie $\rightarrow$ Rural
2100 Calorie $\rightarrow$ Urban

- 1993-94, Lakdawala Committee chaired by Prof. D.T. Lakdawala. The Committee continued the calorie needs as per V.K. Argh committee.
- 2005, Tendulkar Committee.
Tendulkar Committee was setup by government of India under chairmanship of Suresh Tendulkar to review and suggest a new methodology for estimating poverty. The Committee submitted its report in 2009, became a landmark in defining country's poverty line and led significant changes in how poverty was measured.
- Prior to the Tendulkar Committee, poverty in India was primarily estimated based on the calories intake method, which focused on minimum → 2400 Calories for Rural and 2100 Calories for Urban. to meet daily needs.
- However, this approach had several limitations as it did not take into account the expenditure on essential nonfood items, like health, education, clothing and shelter.
- Tendulkar Committee has been constituted to revise the methodology.
- As per the Committee, the poverty line is defined on the basis of monthly per capita consumption expenditure (MPCE) on mixed Reference Period (MRP). In the MRP, the consumer expenditure ~~based on~~ data → Period off:-

- 30 days data to be used for food items
 - 365 days for ^①clothing, ^②footwear, ^③education, ^④institutional medical care and ^⑤durable goods.
 - The government of India, after recognising the limitations constituted the Tendulkar Committee to revise the methodology.
 - As per the estimate of Tendulkar Committee, the number of poor in urban in 2011-12 was 13.7% and in rural India is 25.7%.
 - As per the estimate of National Sample Survey Office (NSSO) 2011-12, poverty line in urban area was set at ₹ 33/day and rural India was ₹ 27/day. (Calculated from Fisher Price Index).
- $$= \sqrt{\frac{\sum P_{190}}{\sum P_{090}} \times \frac{\sum P_{191}}{\sum P_{091}}}$$
- P_1 = Price of the Current year
 P_0 = Price of the Base year
 Q_1 = Quantity of the Current year
 Q_0 = Quantity of the base year.

C. Rangarajan Committee (2014) → (Not continued)

- The Committee was formed in 2014 to review the methodology used for the poverty measurement and dismissed the Tendulkar Committee's estimate of Indian poverty rate.
- This committee was made to lower the poverty rate (Primary Purpose).
- This committee found the poverty rate of 29.5% in 2011-12.
- Based on Impartial large household survey conducted by Center for Monitoring Indian Economy (CMIE).

- 365 Days spending on clothing, footwear, education, institutional medical care, durable goods.
- 7-Days Period for edible oil, egg, fish, meat, vegetables, fruits, intoxicants.
- 30 days spending on food, fuel, light, non-institutional medical, rent and taxes.

Multidimensional Poverty Index (MPI)

- The Multidimensional Poverty Index (MPI), was developed by UNDP and Oxford Poverty & Human Development Initiative (OPHI), uses a broader range of indicators to assess poverty beyond income alone. It considers 3 key dimensions, with various sub-indicators:

1. Health:

- a) Nutrition: must not malnourished.
- b) Child mortality: Has not died before 5 years of age.

2. Education:

- a) Years of Schooling: Any member completed atleast 6 years of Schooling.
- b) School Attendance: Children not attending school upto appropriate grade level.

3. Standard of living

- a) Access to Electricity (electricity)
- b) Sanitation (improved sanitation)
- c) Drinking water (clean drinking water)
- d) Flooring (dirt, sand, dung floors,)
- e) Cooking Fuel (wood or coal or gas)
- f) Asset Ownership. (television, bicycle, motorbike)

UPSC mains Question

1. Hunger and Poverty are the biggest challenges for good governance in India still today. How far successive governments have progressed in dealing with these massive problems. Suggest some measures for improvement.
2. Though there have been several estimates of the poverty in India, all indicate reduction in poverty levels over time. Do you agree? Critically examine with reference to urban and rural poverty indicators?

Handout Notes Preparation

(Homework)

- 1) Causes of Poverty in India.
- 2) Solutions to reduce poverty in India
- 3) Consequences of poverty in India
- 4) Government schemes for poverty in India.